Economics - Graduate Level Assessment 23 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. What economic factors influence the choice of thebest com-bination of inputs by a firm?
   (a) Brand reputation and advertising
   (b) Demand and supply
   (c) Technological innovation and research and development
   (d) Production function and prices of inputs
   (e) Company's ethical policies and social responsibility initiatives

2. Stagflation most likely results from
   (a) decreasing AD with constant SRAS.
   (b) a decrease in AD with increasing SRAS.
   (c) decreasing SRAS with constant AD.
   (d) increasing both AD and SRAS.
   (e) a decrease in AD and an increase in SRAS.

3. Suppose that the total value of all transactions in the United States is $100,000 and the money supply is 10$ Calculate the velocity of money.
   (a) 20
   (b) 5
   (c) 30
   (d) 15
   (e) 12

4. An increase in corporate optimism will have which of the following effects in the market for loanable funds?
   (a) A decrease in both supply and demand and an ambiguous change in interest rates.
   (b) An increase in supply lowering the interest rate.
   (c) A decrease in demand increasing the interest rate.
   (d) An increase in demand increasing the interest rate.
   (e) A decrease in supply increasing the interest rate.

5. If firms that make a particular product expect its price will be lower in the future
   (a) this will cause the supply of the product to decrease right now.

(b) this will have no effect on the amount of the product supplied right now.

(c) this will have no effect on the supply of the product now or later.

(d) this will cause the supply of the product to increase right now.

(e) this will cause the supply of the product to decrease in the future.

True / False (10 marks)

Answer True or False

6. True or False: Consumers pay the largest burden of an excise tax when the demand curve is perfectly elastic and the supply curve is perfectly inelastic.

7. True or False: Inflation stabilizes the value of currency over time by adjusting prices and economic expectations.

8. True or False: Unions have limited means to influence the demand for labor within the broader economic context.

9. True or False: A white noise process will exhibit a non-zero mean and varying autocovariances across different lags.

10. True or False: A price floor in the coffee market leads to a persistent surplus of coffee due to prices being set above the equilibrium level.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a nearly perfectly elastic money demand could constrain a central bank's ability to implement expansionary monetary policy, including potential implications for economic outcomes.

12. Discuss the potential dangers of using economic models for interpreting and predicting behavior, focusing on issues such as over-simplification and over-reliance.

End of Paper